

STATE OF NEW YORK

7252--A

2025-2026 Regular Sessions

IN ASSEMBLY

March 21, 2025

Introduced by M. of A. PRETLOW -- read once and referred to the Committee on Insurance -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the insurance law, in relation to term life insurance suitability information and the limiting of certain regulations or orders promulgated by the superintendent related thereto

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Legislative findings and intent. The legislature hereby
2 finds that term life insurance products are a primary vehicle for the
3 financial security and protection of the families of many New Yorkers.
4 Furthermore, the legislature finds that New York is trailing behind the
5 rest of the country in the sale of term life insurance products. There-
6 fore, it is the intent of the legislature to help to create more oppor-
7 tunities for the availability of term life insurance policies in New
8 York.

9 § 2. The insurance law is amended by adding two new sections 4227 and
10 4227-a to read as follows:

11 § 4227. Term life insurance suitability information. For a policy
12 solely providing term life insurance, as defined in this chapter, with
13 no cash value, the information that is reasonably appropriate to deter-
14 mine the suitability of a recommendation commensurate with the material-
15 ity of the transaction to a consumer's financial situation at the time
16 of the recommendation and the complexity of the transaction recommended
17 shall be limited to age and annual income.

18 § 4227-a. Limitations on the superintendent. (a) Notwithstanding any
19 other provision of law, the superintendent is prohibited from promulgat-
20 ing any regulation, rule, advisory or otherwise imposing any suitability
21 standard, or enforcing any such regulation, rule, advisory or otherwise,
22 in conjunction with the purchase of a term life insurance policy, as
23 that term is defined in this chapter, or in conjunction with the exer-

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 cise of any right or contractual option or amendment pursuant to the
2 provisions of any such policy, that would include suitability informa-
3 tion not described in section four thousand two hundred twenty-seven of
4 this article.

5 (b) Any provision of the superintendent's regulations or orders in
6 effect on the effective date of this section which may be contrary to
7 this section shall be deemed null and void. Particularly, any provision
8 of 11 NYCRR Part 224 contrary to this section shall be null and void and
9 the superintendent shall amend such regulation accordingly, by the
10 consensus regulatory process.

11 § 3. This act shall take effect immediately.